



General Assembly

February Session, 2026

Raised Bill No. 5366

LCO No. 2265



Referred to Committee on HOUSING

Introduced by:
(HSG)

AN ACT CONCERNING MUNICIPAL RIGHT OF FIRST REFUSAL.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. Section 8-30g of the 2026 supplement to the general statutes
2 is repealed and the following is substituted in lieu thereof (*Effective*
3 *October 1, 2026*):

4 (a) As used in this section:

5 (1) "Affordable housing development" means a proposed housing
6 development [which] that is (A) assisted housing, or (B) a set-aside
7 development;

8 (2) "Affordable housing application" means any application made to
9 a commission in connection with an affordable housing development by
10 a person who proposes to develop such affordable housing;

11 (3) "Assisted housing" means housing [which] that is receiving, or
12 will receive, financial assistance under any governmental program for
13 the construction or substantial rehabilitation of low and moderate
14 income housing, and any housing occupied by persons receiving rental

15 assistance under chapter 319uu or Section 1437f of Title 42 of the United
16 States Code;

17 (4) "Commission" means a zoning commission, planning
18 commission, planning and zoning commission, zoning board of appeals
19 or municipal agency exercising zoning or planning authority;

20 (5) "Municipality" means any town, city or borough, whether
21 consolidated or unconsolidated;

22 (6) "Set-aside development" means a development in which not less
23 than thirty per cent of the dwelling units will be conveyed by deeds
24 containing covenants or restrictions [which] that shall require that, for
25 at least forty years after the initial occupation of the proposed
26 development, such dwelling units shall be sold or rented at, or below,
27 prices [which] that will preserve the units as housing for which persons
28 and families pay thirty per cent or less of their annual income, where
29 such income is less than or equal to eighty per cent of the median
30 income. In a set-aside development, of the dwelling units conveyed by
31 deeds containing covenants or restrictions, a number of dwelling units
32 equal to not less than fifteen per cent of all dwelling units in the
33 development shall be sold or rented to persons and families whose
34 income is less than or equal to sixty per cent of the median income and
35 the remainder of the dwelling units conveyed by deeds containing
36 covenants or restrictions shall be sold or rented to persons and families
37 whose income is less than or equal to eighty per cent of the median
38 income;

39 (7) "Median income" means, after adjustments for family size, the
40 lesser of the state median income or the area median income for the area
41 in which the municipality containing the affordable housing
42 development is located, as determined by the United States Department
43 of Housing and Urban Development; and

44 (8) "Commissioner" means the Commissioner of Housing.

45 (b) (1) Any person filing an affordable housing application with a
46 commission shall submit, as part of the application, an affordability plan
47 [which] that shall include at least the following: (A) Designation of the
48 person, entity or agency that will be responsible for the duration of any
49 affordability restrictions, for the administration of the affordability plan
50 and its compliance with the income limits and sale price or rental
51 restrictions of this chapter; (B) an affirmative fair housing marketing
52 plan governing the sale or rental of all dwelling units; (C) a sample
53 calculation of the maximum sales prices or rents of the intended
54 affordable dwelling units; (D) a description of the projected sequence in
55 which, within a set-aside development, the affordable dwelling units
56 will be built and offered for occupancy and the general location of such
57 units within the proposed development; and (E) draft zoning
58 regulations, conditions of approvals, deeds, restrictive covenants or
59 lease provisions that will govern the affordable dwelling units.

60 (2) The commissioner shall, within available appropriations, adopt
61 regulations pursuant to chapter 54 regarding the affordability plan.
62 Such regulations may include additional criteria for preparing an
63 affordability plan and shall include: (A) A formula for determining rent
64 levels and sale prices, including establishing maximum allowable down
65 payments to be used in the calculation of maximum allowable sales
66 prices; (B) a clarification of the costs that are to be included when
67 calculating maximum allowed rents and sale prices; (C) a clarification
68 as to how family size and bedroom counts are to be equated in
69 establishing maximum rental and sale prices for the affordable units;
70 and (D) a listing of the considerations to be included in the computation
71 of income under this section.

72 (c) Any commission, by regulation, may require that an affordable
73 housing application seeking a change of zone include the submission of
74 a conceptual site plan describing the proposed development's total
75 number of residential units and their arrangement on the property and
76 the proposed development's roads and traffic circulation, sewage
77 disposal and water supply.

78 (d) For any affordable dwelling unit that is rented as part of a set-
79 aside development, if the maximum monthly housing cost, as calculated
80 in accordance with subdivision (6) of subsection (a) of this section,
81 would exceed one hundred per cent of the Section 8 fair market rent as
82 determined by the United States Department of Housing and Urban
83 Development, in the case of units set aside for persons and families
84 whose income is less than or equal to sixty per cent of the median
85 income, then such maximum monthly housing cost shall not exceed one
86 hundred per cent of said Section 8 fair market rent. If the maximum
87 monthly housing cost, as calculated in accordance with subdivision (6)
88 of subsection (a) of this section, would exceed one hundred twenty per
89 cent of the Section 8 fair market rent, as determined by the United States
90 Department of Housing and Urban Development, in the case of units set
91 aside for persons and families whose income is less than or equal to
92 eighty per cent of the median income, then such maximum monthly
93 housing cost shall not exceed one hundred twenty per cent of such
94 Section 8 fair market rent.

95 (e) For any affordable dwelling unit that is rented in order to comply
96 with the requirements of a set-aside development, no person shall
97 impose on a prospective tenant who is receiving governmental rental
98 assistance a maximum percentage-of-income-for-housing requirement
99 that is more restrictive than the requirement, if any, imposed by such
100 governmental assistance program.

101 (f) Except as provided in subsections (k), [and] (l) and (m) of this
102 section, any person whose affordable housing application is denied, or
103 is approved with restrictions [which] that have a substantial adverse
104 impact on the viability of the affordable housing development or the
105 degree of affordability of the affordable dwelling units in a set-aside
106 development, may appeal such decision pursuant to the procedures of
107 this section. Such appeal shall be filed within the time period for filing
108 appeals as set forth in section 8-8, 8-9, 8-28 or 8-30a, as applicable, and
109 shall be made returnable to the superior court for the judicial district
110 where the real property [which] that is the subject of the application is

111 located. Affordable housing appeals, including pretrial motions, shall
112 be heard by a judge assigned by the Chief Court Administrator to hear
113 such appeals. To the extent practicable, efforts shall be made to assign
114 such cases to a small number of judges, sitting in geographically diverse
115 parts of the state, so that a consistent body of expertise can be developed.
116 Unless otherwise ordered by the Chief Court Administrator, such
117 appeals, including pretrial motions, shall be heard by such assigned
118 judges in the judicial district in which such judge is sitting. Appeals
119 taken pursuant to this subsection shall be privileged cases to be heard
120 by the court as soon after the return day as is practicable. Except as
121 otherwise provided in this section, appeals involving an affordable
122 housing application shall proceed in conformance with the provisions
123 of section 8-8, 8-9, 8-28 or 8-30a, as applicable.

124 (g) Upon an appeal taken under subsection (f) of this section, the
125 burden shall be on the commission to prove, based upon the evidence
126 in the record compiled before such commission, that the decision from
127 which such appeal is taken and the reasons cited for such decision are
128 supported by sufficient evidence in the record. The commission shall
129 also have the burden to prove, based upon the evidence in the record
130 compiled before such commission, that (1) (A) the decision is necessary
131 to protect substantial public interests in health, safety or other matters
132 [which] that the commission may legally consider; (B) such public
133 interests clearly outweigh the need for affordable housing; and (C) such
134 public interests cannot be protected by reasonable changes to the
135 affordable housing development, or (2) (A) the application [which] that
136 was the subject of the decision from which such appeal was taken would
137 locate affordable housing in an area [which] that is zoned for industrial
138 use and [which] that does not permit residential uses; and (B) the
139 development is not assisted housing. If the commission does not satisfy
140 its burden of proof under this subsection, the court shall wholly or
141 partly revise, modify, remand or reverse the decision from which the
142 appeal was taken in a manner consistent with the evidence in the record
143 before it. In addition, if the court finds, after a hearing, that the

144 commission's decision to deny an affordable housing application or to
 145 approve such application with restrictions that the court determines will
 146 have a substantial adverse impact on the viability of the affordable
 147 housing development or on the degree of affordability of the affordable
 148 dwelling units in a set-aside development was made in bad faith or to
 149 cause undue delay, the court may award reasonable attorney's fees to
 150 the person who filed the appeal under subsection (f) of this section,
 151 provided the total number of units in the affordable housing
 152 development or affordable dwelling units in the set-aside development
 153 ordered by the court to be built is at least ninety per cent of the units
 154 proposed in the original application of such person to the commission.

155 (h) Following a decision by a commission to reject an affordable
 156 housing application or to approve an application with restrictions
 157 [which] that have a substantial adverse impact on the viability of the
 158 affordable housing development or the degree of affordability of the
 159 affordable dwelling units, the applicant may, within the period for filing
 160 an appeal of such decision, submit to the commission a proposed
 161 modification of its proposal responding to some or all of the objections
 162 or restrictions articulated by the commission, which shall be treated as
 163 an amendment to the original proposal. The day of receipt of such a
 164 modification shall be determined in the same manner as the day of
 165 receipt is determined for an original application. The filing of such a
 166 proposed modification shall stay the period for filing an appeal from the
 167 decision of the commission on the original application. The commission
 168 shall hold a public hearing on the proposed modification if it held a
 169 public hearing on the original application and may hold a public
 170 hearing on the proposed modification if it did not hold a public hearing
 171 on the original application. The commission shall render a decision on
 172 the proposed modification not later than sixty-five days after the receipt
 173 of such proposed modification, provided, if, in connection with a
 174 modification submitted under this subsection, the applicant applies for
 175 a permit for an activity regulated pursuant to sections 22a-36 to 22a-45,
 176 inclusive, and the time for a decision by the commission on such

177 modification under this subsection would lapse prior to the thirty-fifth
178 day after a decision by an inland wetlands and watercourses agency, the
179 time period for decision by the commission on the modification under
180 this subsection shall be extended to thirty-five days after the decision of
181 such agency. The commission shall issue notice of its decision as
182 provided by law. Failure of the commission to render a decision within
183 said sixty-five days or subsequent extension period permitted by this
184 subsection shall constitute a rejection of the proposed modification.
185 Within the time period for filing an appeal on the proposed modification
186 as set forth in section 8-8, 8-9, 8-28 or 8-30a, as applicable, the applicant
187 may appeal the commission's decision on the original application and
188 the proposed modification in the manner set forth in this section.
189 Nothing in this subsection shall be construed to limit the right of an
190 applicant to appeal the original decision of the commission in the
191 manner set forth in this section without submitting a proposed
192 modification or to limit the issues [which] that may be raised in any
193 appeal under this section.

194 (i) Nothing in this section shall be deemed to preclude any right of
195 appeal under the provisions of section 8-8, 8-9, 8-28 or 8-30a.

196 (j) A commission or its designated authority shall have, with respect
197 to compliance of an affordable housing development with the
198 provisions of this chapter, the same powers and remedies provided to
199 commissions by section 8-12.

200 (k) The affordable housing appeals procedure established under this
201 section shall not be available if the real property [which] that is the
202 subject of the application is located in a municipality in which at least
203 ten per cent of all dwelling units in the municipality are (1) assisted
204 housing, (2) currently financed by Connecticut Housing Finance
205 Authority mortgages, (3) subject to binding recorded deeds containing
206 covenants or restrictions [which] that require that such dwelling units
207 be sold or rented at, or below, prices which will preserve the units as
208 housing for which persons and families pay thirty per cent or less of

209 income, where such income is less than or equal to eighty per cent of the
210 median income, (4) mobile manufactured homes located in mobile
211 manufactured home parks or legally approved accessory apartments,
212 which homes or apartments are subject to binding recorded deeds
213 containing covenants or restrictions [which] that require that such
214 dwelling units be sold or rented at, or below, prices [which] that will
215 preserve the units as housing for which, for a period of not less than ten
216 years, persons and families pay thirty per cent or less of income, where
217 such income is less than or equal to eighty per cent of the median
218 income, or (5) mobile manufactured homes located in resident-owned
219 mobile manufactured home parks. For the purposes of calculating the
220 total number of dwelling units in a municipality, accessory apartments
221 built or permitted after January 1, 2022, but that are not described in
222 subdivision (4) of this subsection, shall not be counted toward such total
223 number. The municipalities meeting the criteria set forth in this
224 subsection shall be listed in the report submitted under section 8-37qqq.
225 As used in this subsection, "accessory apartment" has the same meaning
226 as provided in section 8-1a, and "resident-owned mobile manufactured
227 home park" means a mobile manufactured home park consisting of
228 mobile manufactured homes located on land that is deed restricted, and,
229 at the time of issuance of a loan for the purchase of such land, such loan
230 required seventy-five per cent of the units to be leased to persons with
231 incomes equal to or less than eighty per cent of the median income, and
232 either (A) forty per cent of said seventy-five per cent to be leased to
233 persons with incomes equal to or less than sixty per cent of the median
234 income, or (B) twenty per cent of said seventy-five per cent to be leased
235 to persons with incomes equal to or less than fifty per cent of the median
236 income.

237 (l) (1) Except as provided in subdivision (2) of this subsection, the
238 affordable housing appeals procedure established under this section
239 shall not be applicable to an affordable housing application filed with a
240 commission during a moratorium, which shall commence after (A) a
241 certification of affordable housing project completion issued by the

242 commissioner is published in the Connecticut Law Journal, or (B) notice
243 of a provisional approval is published pursuant to subdivision (4) of this
244 subsection. Any such moratorium shall be for a period of four years,
245 except that for any municipality that has (i) twenty thousand or more
246 dwelling units, as reported in the most recent United States decennial
247 census, and (ii) previously qualified for a moratorium in accordance
248 with this section, any subsequent moratorium shall be for a period of
249 five years. Any moratorium that is in effect on October 1, 2002, is
250 extended by one year.

251 (2) Such moratorium shall not apply to (A) affordable housing
252 applications for assisted housing in which ninety-five per cent of the
253 dwelling units are restricted to persons and families whose income is
254 less than or equal to sixty per cent of the median income, (B) other
255 affordable housing applications for assisted housing containing forty or
256 fewer dwelling units, or (C) affordable housing applications [which]
257 that were filed with a commission pursuant to this section prior to the
258 date upon [which] that the moratorium takes effect.

259 (3) Eligible units completed before a moratorium has begun, but that
260 were not counted toward establishing eligibility for such moratorium,
261 may be counted toward establishing eligibility for a subsequent
262 moratorium. Eligible units completed after a moratorium has begun
263 may be counted toward establishing eligibility for a subsequent
264 moratorium.

265 (4) (A) Except as provided in subparagraph (B) of this subdivision,
266 the commissioner shall issue a certificate of affordable housing project
267 completion for the purposes of this subsection upon finding that there
268 has been completed within the municipality one or more affordable
269 housing developments [which] that create housing unit-equivalent
270 points equal to (i) the greater of two per cent of all dwelling units in the
271 municipality, as reported in the most recent United States decennial
272 census, or seventy-five housing unit-equivalent points, or (ii) for any
273 municipality that has (I) adopted a municipal housing growth plan or

274 has elected to comply with a regional housing growth plan in
275 accordance with the provisions of section 8-13cc, (II) twenty thousand
276 or more dwelling units, as reported in the most recent United States
277 decennial census, and (III) previously qualified for a moratorium in
278 accordance with this section, one and one-half per cent of all dwelling
279 units in the municipality, as reported in the most recent United States
280 decennial census.

281 (B) If a municipality has received a final letter of eligibility from the
282 commissioner pursuant to section 8-13gg, the commissioner shall issue
283 a certificate of affordable housing completion to such municipality at
284 such time as, upon application, the commissioner determines, in the
285 commissioner's discretion, that the municipality is in compliance with
286 the following conditions: The municipality remains in compliance with
287 all requirements for a final letter of eligibility, and there has been
288 completed within the municipality one or more affordable housing
289 developments that create housing unit-equivalent points equal to (i) the
290 greater of one and three-quarter per cent of all dwelling units in the
291 municipality, as reported in the most recent United States decennial
292 census, or sixty-five housing unit-equivalent points, or (ii) for any
293 municipality that (I) has adopted a municipal housing growth plan or
294 has elected to comply with a regional housing growth plan in
295 accordance with the provisions of section 8-13bb, (II) has twenty
296 thousand or more dwelling units, as reported in the most recent United
297 States decennial census, and (III) previously qualified for a moratorium
298 in accordance with this section, one and one-half per cent of all dwelling
299 units in the municipality, as reported in the most recent United States
300 decennial census.

301 (C) A municipality may apply for a certificate of affordable housing
302 project completion pursuant to this subsection by applying in writing to
303 the commissioner, and including documentation showing that the
304 municipality has accumulated the required number of points within the
305 applicable time period. Such documentation shall include the location
306 of each dwelling unit being counted, the number of points each dwelling

307 unit has been assigned, and the reason, pursuant to this subsection, for
308 assigning such points to such dwelling unit. Upon receipt of such
309 application, the commissioner shall promptly cause a notice of the filing
310 of the application to be published in the Connecticut Law Journal,
311 stating that public comment on such application shall be accepted by the
312 commissioner for a period of thirty days after the publication of such
313 notice. Not later than ninety days after the receipt of such application,
314 the commissioner shall either approve or reject such application. Such
315 approval or rejection shall be accompanied by a written statement of the
316 reasons for approval or rejection, pursuant to the provisions of this
317 subsection. If the application is approved, the commissioner shall
318 promptly cause a certificate of affordable housing project completion to
319 be published in the Connecticut Law Journal. If the commissioner fails
320 to either approve or reject the application within such ninety-day
321 period, such application shall be deemed provisionally approved, and
322 the municipality may cause notice of such provisional approval to be
323 published in a conspicuous manner in a daily newspaper having general
324 circulation in the municipality, in which case, such moratorium shall
325 take effect upon such publication. The municipality shall send a copy of
326 such notice to the commissioner. Such provisional approval shall
327 remain in effect unless the commissioner subsequently acts upon and
328 rejects the application, in which case the moratorium shall terminate
329 upon notice to the municipality by the commissioner.

330 (5) For the purposes of this subsection, "elderly units" are dwelling
331 units whose occupancy is restricted by age, "family units" are dwelling
332 units whose occupancy is not restricted by age, and "resident-owned
333 mobile manufactured home park" has the same meaning as provided in
334 subsection (k) of this section.

335 (6) For the purposes of this subsection, housing unit-equivalent
336 points shall be determined by the commissioner as follows: (A) No
337 points shall be awarded for a unit unless its occupancy is restricted to
338 persons and families whose income is equal to or less than eighty per
339 cent of the median income, except that (i) unrestricted units in a set-

340 aside development shall be awarded one-quarter point each, and (ii)
 341 dwelling units in transit community middle housing developments
 342 developed pursuant to subdivision (2) of subsection (a) of section 8-2s
 343 shall be awarded one-quarter point each; (B) family units restricted to
 344 persons and families whose income is equal to or less than eighty per
 345 cent of the median income shall be awarded one point if an ownership
 346 unit and one and one-half points if a rental unit; (C) family units
 347 restricted to persons and families whose income is equal to or less than
 348 sixty per cent of the median income shall be awarded one and one-half
 349 points if an ownership unit and two points if a rental unit; (D) family
 350 units restricted to persons and families whose income is equal to or less
 351 than forty per cent of the median income shall be awarded two points if
 352 an ownership unit and two and one-half points if a rental unit; (E)
 353 elderly units restricted to persons and families whose income is equal to
 354 or less than eighty per cent of the median income shall be awarded one-
 355 half point; (F) a set-aside development containing family units [which]
 356 that are rental units shall be awarded additional points equal to twenty-
 357 two per cent of the total points awarded to such development, provided
 358 the application for such development was filed with the commission
 359 prior to July 6, 1995; (G) a mobile manufactured home in a resident-
 360 owned mobile manufactured home park shall be awarded points as
 361 follows: (i) One and one-half points when occupied by persons and
 362 families with an income equal to or less than eighty per cent of the
 363 median income, (ii) two points when occupied by persons and families
 364 with an income equal to or less than sixty per cent of the median income,
 365 and (iii) one-fourth point for the remaining units; and (H) any unit
 366 described in subparagraphs (A) to (G), inclusive, of this subdivision
 367 shall be awarded an additional one-quarter point, provided such unit
 368 was constructed by or in conjunction with a housing authority, as
 369 defined in section 8-40, of a neighboring municipality.

370 (7) Points shall be awarded only for dwelling units [which] that (A)
 371 were newly-constructed units in an affordable housing development, as
 372 that term was defined at the time of the affordable housing application,

373 for which a certificate of occupancy was issued after July 1, 1990, (B)
374 were newly subjected after July 1, 1990, to deeds containing covenants
375 or restrictions [which] that require that, for at least the duration required
376 by subsection (a) of this section for set-aside developments on the date
377 when such covenants or restrictions took effect, such dwelling units
378 shall be sold or rented at, or below, prices [which] that will preserve the
379 units as affordable housing for persons or families whose income does
380 not exceed eighty per cent of the median income, or (C) are located in a
381 resident-owned mobile manufactured home park.

382 (8) Points shall be subtracted, applying the formula in subdivision (6)
383 of this subsection, for any affordable dwelling unit [which] that, on or
384 after July 1, 1990, was affected by any action taken by a municipality
385 [which] that caused such dwelling unit to cease being counted as an
386 affordable dwelling unit.

387 (9) A newly-constructed unit shall be counted toward a moratorium
388 when it receives a certificate of occupancy. A newly-restricted unit shall
389 be counted toward a moratorium when its deed restriction takes effect.

390 (10) The affordable housing appeals procedure shall be applicable to
391 affordable housing applications filed with a commission after a three-
392 year moratorium expires, except (A) as otherwise provided in
393 subsection (k) of this section, or (B) when sufficient unit-equivalent
394 points have been created within the municipality during one
395 moratorium to qualify for a subsequent moratorium.

396 (11) The commissioner shall, within available appropriations, adopt
397 regulations in accordance with chapter 54 to carry out the purposes of
398 this subsection. Such regulations shall specify the procedure to be
399 followed by a municipality to obtain a moratorium, and shall include
400 the manner in which a municipality is to document the units to be
401 counted toward a moratorium. A municipality may apply for a
402 moratorium in accordance with the provisions of this subsection prior
403 to, as well as after, such regulations are adopted.

404 (m) The affordable housing appeals procedure established under this
 405 section shall not be applicable to an affordable housing application if the
 406 municipality in which such application was filed has elected to purchase
 407 the real property identified as an affordable housing development in
 408 such application pursuant to the provisions of section 2 of this act.

409 [(m)] (n) The commissioner shall, pursuant to regulations adopted in
 410 accordance with the provisions of chapter 54, promulgate model deed
 411 restrictions [which] that satisfy the requirements of this section. A
 412 municipality may waive any fee [which] that would otherwise be
 413 required for the filing of any long-term affordability deed restriction on
 414 the land records.

415 Sec. 2. (NEW) (*Effective October 1, 2026*) (a) Upon the filing of an
 416 affordable housing application pursuant to section 8-30g of the general
 417 statutes, as amended by this act, the municipality in which such
 418 application was filed shall have the option to purchase the real property
 419 identified as an affordable housing development in such application,
 420 provided the municipality (1) notifies the applicant of the municipality's
 421 election to exercise its purchase option pursuant to this section in
 422 writing by certified mail not later than forty-five days after the
 423 submission of the affordable housing application by the applicant, (2)
 424 agrees to pay to the applicant a purchase price equal to one hundred
 425 two per cent of the purchase price the applicant paid when the applicant
 426 acquired the real property, or if the applicant paid no consideration for
 427 such real property or purchased such property more than five years
 428 prior to the date of application, one hundred two per cent of the fair
 429 market value for such real property established by the tax assessor of
 430 the municipality for the assessment year in which such application was
 431 filed, and (3) purchases and closes upon the sale of such real property
 432 not later than one hundred twenty days after such municipality delivers
 433 notice to the applicant pursuant to subdivision (1) of this subsection.

434 (b) Any municipality that elects to purchase real property identified
 435 as an affordable housing development pursuant to this section shall

436 issue certificates of occupancy for not less than seventy-five per cent of
437 the affordable housing units proposed in the affordable housing
438 application not more than eight years after such municipality acquires
439 such real property.

440 (c) If a municipality fails to complete the development of affordable
441 housing units required under subsection (b) of this section within the
442 time prescribed by said subsection, such municipality shall pay an
443 amount equal to five per cent of the purchase price such municipality
444 paid to the applicant to each of the following: (1) The applicant, and (2)
445 the Treasurer, for deposit into the Housing Trust Fund established
446 under section 8-336o of the general statutes, as amended by this act.

447 Sec. 3. Subsection (a) of section 8-336o of the general statutes is
448 repealed and the following is substituted in lieu thereof (*Effective October*
449 *1, 2026*):

450 (a) There is established the "Housing Trust Fund" which shall be a
451 nonlapsing fund held by the Treasurer separate and apart from all other
452 moneys, funds and accounts. The following funds shall be deposited in
453 the fund: (1) Proceeds of bonds authorized by section 8-336n; (2) all
454 moneys received in return for financial assistance awarded from the
455 Housing Trust Fund pursuant to the Housing Trust Fund program
456 established under section 8-336p; (3) all private contributions received
457 pursuant to section 8-336p; [and] (4) to the extent not otherwise
458 prohibited by state or federal law, any local, state or federal funds
459 received pursuant to section 8-336p; and (5) any payments by a
460 municipality to the Treasurer pursuant to subsection (c) of section 2 of
461 this act. Investment earnings credited to the assets of said fund shall
462 become part of the assets of said fund. The Treasurer shall invest the
463 moneys held by the Housing Trust Fund subject to use for financial
464 assistance under the Housing Trust Fund program.

This act shall take effect as follows and shall amend the following sections:
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Section 1	<i>October 1, 2026</i>	8-30g
Sec. 2	<i>October 1, 2026</i>	New section
Sec. 3	<i>October 1, 2026</i>	8-336o(a)

Statement of Purpose:

To permit municipalities to purchase and develop affordable housing on real property identified in an affordable housing development application.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]